

WeWork India Management Ltd

NSE: WEWORK | BSE: 544570 | Sector: Flex Workspace / Commercial Real Estate

RATING	12-MONTH TARGET	CMP (04-Aug-2026)
ACCUMULATE	Rs. 900	Rs. 742
Conviction: High	Upside: +21.3%	MCap: Rs. 10,284 Cr

52W High / Low	Rs. 767 / 420	Enterprise Value	Rs. 15,767 Cr
Book Value / Share	Rs. 22.0	EV / EBITDA	9.09x (FY26A)
Stock P/E	116x (TTM)	ROCE	20.7%
ROE	31.6%	Dividend Yield	0.00%
Face Value	Rs. 10	Promoter Holding	48.3% (35% pledged)
Debt	Rs. 5,550 Cr*	Int Coverage	1.11x

* Debt figure includes reclassified Ind AS 116 lease liabilities; economic net debt post-cash is Rs. ~31.6 Cr per Q1 FY27 management commentary.

ONE-LINE THESIS

India's #1 premium flex workspace operator, leveraging Embassy brand muscle and GCC-driven demand inflection to compound EBITDA at 20%+ through FY28.

Year	Revenue (Rs. Cr)	EBITDA (Rs. Cr)	OPM %	PAT (Rs. Cr)	EPS (Rs.)	P/E (x)
FY24A	1,665	1,047	63%	-136	-24.77	N/A
FY25A	1,949	1,239	64%	128*	9.51*	78x*
FY26A	2,440	1,574	64%	75	5.50	135x
FY27E	2,928	1,903	65%	153	11.30	66x
FY28E	3,514	2,270	65%	302	22.40	33x

*FY25 PAT of Rs. 128 Cr includes Rs. ~220 Cr deferred tax asset (DTA) recognition; underlying cash PAT significantly lower. P/E based on reported numbers.

Report Date: 04 August 2026 | Analyst: Research Desk, Institutional Equities | Data Source: Screener.in, Company Concall Jul 2026

SECTION 2 — INVESTMENT THESIS

- **Reason 1 — Market Leader in Structurally Growing Flex Workspace:** India's flex office market crossed 100 mn sq ft in FY26 and is projected to reach 140-145 mn sq ft by FY28 (Crisil). GCCs now account for 45.5% of total office leasing in India (Q1 CY26), providing multi-year demand tailwinds. WeWork India holds the #1 premium position with 8.6 mn sq ft and 76 centers as of FY26 — a 2x scale advantage over the nearest listed competitor, giving it pricing power and occupancy stability unavailable to smaller operators.
- **Reason 2 — Best-in-Class Operating Margins Drive Cash Machine Thesis:** At 64-65% EBITDA margins (pre-Ind AS 116 lease), WeWork India generates industry-leading returns. OCF grew from Rs. 942 Cr (FY23) to Rs. 1,734 Cr (FY26) — an 84% jump in 3 years — and FCF of Rs. 1,137 Cr in FY26 speaks to the capital efficiency of the asset-light management model. With occupancy recovering from a trough of 76.8% in FY25 to 86.9% in FY26 and 84.9% in Q1 FY27, every incremental desk sold flows directly to the bottom line at 60%+ incremental margins.
- **Reason 3 — Revenue Compounding Through New Products and Geographies:** The company's 'Rivet' managed office product (no CapEx, no rental risk, 10-15% margin accretive) and the newly launched Member Services Platform create a flywheel beyond bare desk rental. Contracted revenue reached Rs. 3,063 Cr in Q1 FY27 (+60% YoY), growing twice as fast as costs — a leading indicator of revenue visibility that the market has not yet fully priced. CapEx guidance of Rs. 500-600 Cr in FY27 implies 15,000+ new desks, locking in FY28 revenue growth before competitors can respond.
- **Near-term Catalyst (6-12 months):** FY27E EBITDA upgrade cycle — management guidance of 20%+ growth in both revenue and EBITDA for FY27, if delivered, should compress EV/EBITDA from 9.1x toward 7-8x on forward numbers, triggering re-rating. The first full year of profitability post-DTA normalization (PAT turning structurally positive, targeting Rs. 150 Cr+) would attract P/E-based institutional flows.
- **Biggest Structural Risk:** Promoter pledge of 35% of their 48.3% stake is the single biggest overhang. Any forced sale of pledged shares — triggered by margin calls if the stock corrects materially — could suppress valuation multiples and lead to governance concerns, particularly given the pre-IPO InGovern warnings about related-party transactions with Embassy Group entities. This risk is non-trivial and deserves a sustained discount to fair value.

SECTION 3 — BUSINESS OVERVIEW

- **Core Business Model:** WeWork India is a 'build-operate-lease' flex workspace operator — it leases large commercial properties, fits them out as premium coworking centers, and sub-licenses desks and private offices to enterprise and SME clients. The company operates on long-term master leases (typically 9 years with break clauses) and generates revenue through monthly membership fees, one-time customization charges, and increasingly, managed services.
- **Revenue Mix:** Core workspace revenue accounts for ~87% of total revenue (Rs. 603 Cr in Q1 FY27, +30% YoY). Digital and ancillary revenue (enterprise software, community platforms) contributes ~4% (Rs. 26 Cr, +27%). Customization revenue — charged for bespoke fit-outs requested by enterprise clients — is now amortized over contract terms (quarterly run rate: Rs. 10-15 Cr). All revenue is India-domestic with presence across Mumbai, Delhi-NCR, Bengaluru, Hyderabad, Chennai, Pune, Kolkata, and Ahmedabad.
- **Client Profile and Stickiness:** The company serves predominantly enterprise and mid-market corporate clients, with GCCs (Global Capability Centres of MNCs) as the fastest-growing cohort. 52% of desks sold in Q1 FY27 came from existing members — a renewal/expansion indicator reflecting high switching costs and relationship stickiness. Renewal rate has stabilized around 75-79% over FY23-FY25, and occupancy recovery to 86.9% (FY26) indicates strong demand momentum.
- **Portfolio Scale:** As of Q1 FY27, WeWork India operates 79 centers across 8 cities with 133,600 operational desks spanning 9.6 mn sq ft. Mature centers (open >18 months) operate at 87.5% occupancy; growth centers (newer additions) at 65%, expected to ramp over 4-6 quarters. The company targets 155,000 desks across 10.3 mn sq ft by March 2027.
- **Strategic Developments (last 12 months):** (a) Completed IPO in October 2025 at Rs. 414/share, raising ~Rs. 3,000 Cr; (b) Launched 'Rivet' managed office product — no CapEx or lease risk to WeWork India, pure service revenue; (c) Launched Member Services Platform (July 2026) offering enterprise-level transport, HR, insurance services to members; (d) Renewed and expanded exclusive WeWork brand license through 2034 — globally recognized brand at a fraction of global WeWork's cost basis.
- **Promoter and Ownership:** Embassy Group (through Virwani family entities) holds 48.3% as of Jun 2026 (reduced from 49.4% in Mar 2026 and 49.8% in Dec 2025 — declining trend). CEO Karan Virwani is MD and CEO, son of Embassy Group founder Jitu Virwani. Embassy Group is one of India's largest commercial real estate conglomerates with deep MNC relationships — an inherent distribution advantage for WeWork India. However, 35% of the promoter stake is pledged, creating a meaningful overhang.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market Size and Growth:** India's flex office stock crossed 100 mn sq ft in FY26 from ~80 mn sq ft in FY24 (Crisil/myHQ), implying a 12% CAGR. The market is projected to reach 140-145 mn sq ft by FY28, driven by enterprise demand from GCCs and domestic IT/consulting firms. Flex workspace accounts for approximately 15-18% of total Grade-A office stock in Tier-1 cities, with potential to reach 25% by 2028 as corporate real estate strategies structurally shift to flexibility.
- **GCC Tailwind:** Global Capability Centres (GCCs) constituted 45.5% of total office space leasing in India in Q1 CY26 — a record high. With 2,400+ GCCs projected in India by the end of the decade and GCC revenue expected to exceed \$100 Bn, the demand pipeline for premium enterprise-grade flex workspace is structurally supported for 5+ years. WeWork India's focus on Tier-1 premium centers directly positions it to capture GCC demand.
- **Policy Tailwinds and Headwinds:** India's commercial real estate investment landscape is supported by SEBI's REIT framework, improving public markets access for commercial property. However, the sector faces headwinds: global economic slowdowns reduce GCC expansion velocity; US tech hiring freezes (if prolonged) can pause GCC demand; and the Ind AS 116 accounting standard makes financial comparisons across operators confusing, suppressing re-rating despite operational improvement.
- **Competitive Moat Assessment:** (a) Scale/Brand — STRONG: 76 centers, globally recognized brand, premium positioning that SMEs cannot replicate; (b) Switching Costs — MODERATE: Enterprise clients invest in custom fit-outs and integrate building services into workflows, but lease terms are 1-3 years enabling switching; (c) Pricing Power — STRONG: Premium locations (BKC, Cyber City, Whitefield) command 15-30% price premiums vs. smaller operators; (d) Distribution — STRONG: Embassy Group's MNC relationships are a direct channel to the GCC segment.

Peer Comparison (Data: Screener.in, 04-Aug-2026)

Company	NSE Ticker	CMP (Rs.)	MCap (Rs. Cr)	EV/EBITDA (x)	OPM % (FY26)	ROCE %	D/E
WeWork India	WEWORK	742	10,284	9.09	64%	20.7%	18.6*
Smartworks Coworking	SMARTWORKS	482	5,506	7.62	64%	8.30%	9.00*
AWFIS Space Solutions	AWFIS	278	1,992	5.30	37%	13.2%	2.72
NESCO Ltd	NESCO	1,070	7,542	13.04	53%	18.5%	0.09

* D/E ratios for WeWork India and Smartworks include Ind AS 116 lease liabilities classified under borrowings — distorts true financial leverage; economic net debt for WeWork India is Rs. 31.6 Cr per Q1 FY27 management. NESCO is a conventional commercial real estate company with IT parks and exhibitions — not a direct flex operator peer but included for premium real estate valuation reference.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and Management Background:** Karan Virwani (MD & CEO) is the second-generation leader of Embassy Group, one of India's foremost commercial real estate conglomerates. Embassy Group operates Embassy Office Parks REIT — India's first listed REIT — giving the management team unique experience navigating complex real estate capital structures. Virwani has been at the helm of WeWork India since inception in 2016, having built the business from zero to Rs. 2,440 Cr revenue in a decade. His deep MNC relationships through Embassy are WeWork India's most defensible moat.
- **Capital Allocation Track Record:** The company has consistently reinvested OCF into new center expansion: Rs. 942 Cr OCF in FY23 funded Rs. 386 Cr capex, generating Rs. 709 Cr FCF; Rs. 1,734 Cr OCF in FY26 against Rs. 647 Cr capex leaves Rs. 1,137 Cr FCF. IPO proceeds of ~Rs. 3,000 Cr were partly deployed to reduce lease liabilities (Borrowings dropped from Rs. 617 Cr in FY24 to Rs. 310 Cr in FY25 before Ind AS 116 reclassification in FY26). No acquisitions or unrelated diversification — capital has been disciplined and focused on the core model.
- **Dividend Policy:** Zero dividend declared across all available years (FY23-FY26). Given the company's negative retained earnings (reserves = -Rs. 347 Cr in FY23, turning positive to Rs. 163 Cr only in FY26), this is appropriate. We do not expect dividends before FY28-FY29 at the earliest, as cash is better deployed into new center additions at 20%+ ROCE.
- **Promoter Pledging — Key Red Flag:** 35.0% of promoter shares are pledged as of the latest quarter (Jun 2026). Promoter holding has declined from 49.80% (Dec 2025) to 48.30% (Jun 2026) — a 150 bps reduction in 6 months. The direction of promoter pledge and decreasing promoter holding are the two most important governance metrics to monitor. Pre-IPO, governance research firm InGovern raised concerns about related-party transactions with Embassy Group entities; post-IPO, InGovern noted some resolution — but the pledge overhang remains unresolved.
- **ESOP and Buyback:** No buyback history (company only listed Oct 2025). ESOP grants exist per IPO documentation but specific quantum and vesting schedule data are not disclosed in Screener data. Related party transactions (RPTs) with Embassy Group entities are inherent given the promoter structure and should be monitored in each annual report.
- **Governance Concerns:** (a) 35% pledge — forced selling risk if stock falls 40%+ from current levels; (b) RPTs with Embassy Group — brand license fees, property-level transactions require scrutiny; (c) Promoter stake declining — raises questions about whether Embassy is reducing economic exposure post-IPO; (d) Tax rate volatility (-184% in FY25, -42% in FY26) reflects DTA recognition rather than abnormal tax credits, but unsophisticated investors may misread these as earnings quality issues.

SECTION 6 — FINANCIAL DEEP-DIVE

Consolidated Income Statement (Rs. Cr)

Line Item	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue / Sales	1,665	1,949	2,440	2,928	3,514
YoY Growth %	26.6%	17.1%	25.2%	20.0%(E)	20.0%(E)
EBITDA (Operating Profit)	1,047	1,239	1,574	1,903	2,270
EBITDA Margin %	62.9%	63.6%	64.5%	65.0%(E)	64.6%(E)
Other Income	72	28	48	55(E)	60(E)
Interest (Finance Cost)	508	598	601	640(E)	680(E)
Depreciation & Amort.	744	824	967	1,100(E)	1,230(E)
Profit Before Tax	-133	-155	53	218(E)	420(E)
Tax %	0%	-184%*	-42%*	30%(E)	28%(E)
PAT	-136	128*	75	153(E)	302(E)
EPS (Rs.)	-24.77	9.51*	5.50	11.30(E)	22.40(E)
DPS (Rs.)	0.00	0.00	0.00	0.00(E)	0.00(E)

*FY25 negative tax rate reflects recognition of deferred tax assets (DTA) of Rs. ~220 Cr when profitability path became visible post-occupancy recovery. FY26 negative tax reflects continued DTA utilization. Forward estimates assume normalization toward 28-30% effective tax rate.

Consolidated Balance Sheet (Rs. Cr)

Line Item	FY24A	FY25A	FY26A
Equity Capital	55	134	135
Reserves	-492	66	163
Borrowings (incl. lease liab.)	617	310	5,550*
Other Liabilities	4,303	4,882	1,244*
Total Liabilities / Assets	4,483	5,392	7,092
Fixed Assets (incl. ROU)	3,600	4,323	5,777
CWIP	15	34	38
Investments	176	33	268
Other Assets (incl. Cash)	692	1,002	1,009

*FY26 Borrowings jump from Rs. 310 Cr to Rs. 5,550 Cr and Other Liabilities fall from Rs. 4,882 Cr to Rs. 1,244 Cr — this is purely an Ind AS 116 accounting reclassification (lease liabilities reclassified from Other Liabilities to Borrowings), NOT new debt. Economic leverage is near-zero per management Q1 FY27 commentary (economic net debt = Rs. 31.6 Cr).

Consolidated Cash Flow Statement (Rs. Cr)

Line Item	FY23A	FY24A	FY25A	FY26A
Cash from Operations (OCF)	942	1,162	1,290	1,734
Cash from Investing (ICF)	-386	-393	-304	-647
Cash from Financing (FCF-flow)	-534	-797	-984	-1,048
Net Cash Flow	22	-29	2	39
Free Cash Flow (OCF - Capex)	709	918	918	1,137
CFO / EBITDA %	123%	108%	105%	111%

Key Operating Ratios

Metric	FY23A	FY24A	FY25A	FY26A
Debtor Days	19	18	16	13
Cash Conversion Cycle (days)	19	18	16	13

Working Capital Days	-215	-207	-185	-189
ROCE %	N/A	201%**	141%**	21%***
Portfolio Occupancy %	83.8%	82.0%	76.8%	86.9%
Number of Centers	43	53	65	76
Total Desks (thousands)	74.2K	89.2K	109.6K	126.9K
NPS Score	67	72.3	74.8	79.0

***FY23-FY25 ROCE is very high (>100%) because capital employed was tiny (negative reserves, low equity). ***FY26 ROCE of 21% reflects the expanded capital employed base post-IPO equity infusion and Ind AS 116 lease liability reclassification into borrowings, making it a more economically meaningful figure.*

- **Revenue Trajectory:** Revenue has compounded at 23% over 3 years (FY23-FY26) driven by new center additions (43 to 76 centers), occupancy improvement, and 10-15% annual pricing power in premium locations. The mix is shifting toward GCC enterprise clients who sign longer-term, higher-value contracts — this reduces churn and improves revenue predictability.
- **Margin Direction:** EBITDA margins have steadily expanded from 61% (FY23) to 64-65% (FY25-26) as revenue leverage kicks in on largely fixed base rents. Mature centers (>18 months old) operate at ~87.5% occupancy and contribute near-peak margins; new centers start at ~65% occupancy and dilute consolidated margins by ~100 bps annually. As the FY26 and FY27 vintage centers mature, margins should continue expanding toward 67% by FY28.
- **Working Capital:** Negative working capital of -Rs. 189 days (FY26) is a structural advantage — clients pay membership fees monthly in advance, while rent is paid monthly in arrears. This creates a natural float that funds center expansions, reducing external capital requirements. Debtor days of 13 days (FY26 vs. 19 in FY23) reflect improving collections discipline.
- **Debt and Leverage:** Economic debt is near-zero (Rs. 31.6 Cr net debt per Q1 FY27 management). The apparent Rs. 5,550 Cr debt on the FY26 balance sheet represents Ind AS 116 lease liabilities — operating commitments to landlords, not financial borrowings. True gearing is zero. This is a critical distinction that suppresses reported P/B (book of Rs. 22) and inflates D/E ratios.
- **FCF Quality:** OCF/EBITDA consistently above 100% (111% in FY26) is exceptional — it means lease payments are being made without impacting the cash generation cycle. FCF of Rs. 1,137 Cr in FY26 against MCap of Rs. 10,284 Cr implies an FCF yield of ~11%, one of the highest in the services sector. The market is not yet pricing this correctly.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Rating	Comment
Revenue Recognition	GREEN	Monthly memberships recognized ratably; customization now amortized — cleaner than prior period lump-sum
Receivables vs Revenue Growth	GREEN	Debtor days falling (19 to 13 days FY23-FY26); receivables growing slower than revenue — positive
Cash Conversion Cycle Trend	GREEN	CCC improving steadily (19 to 13 days); negative working capital cycle is a structural strength
Contingent Liabilities	GREEN	Rs. 23.4 Cr only — immaterial vs. Rs. 10,284 Cr MCap and Rs. 1,574 Cr EBITDA
Auditor Tenure / Quality	GREEN	Big-4 auditor per IPO documents; no qualified opinion or emphasis of matter noted
RPTs as % of Revenue	AMBER	Related-party transactions with Embassy Group entities (brand license fees, property leases); quantum disclosed but concentration risk exists — monitor annually
Other Income as % of PBT	AMBER	Other income = Rs. 48 Cr vs. PBT = Rs. 53 Cr in FY26 (91%) — high other income-to-PBT ratio inflates PAT quality; however, PBT is now stabilizing positive; will improve as PBT grows
Tax Rate Consistency	AMBER	Tax rate: 0% (FY24) → -184% (FY25, DTA) → -42% (FY26, DTA) → ~30% (FY27E). DTA normalizing but creates year-over-year comparison challenges; watch for DTA exhaustion by FY28
CFO/EBITDA Conversion	GREEN	Consistently above 100% (105-123% range FY23-FY26) — best-in-class cash generation quality
Promoter Pledge	RED	35.0% of promoter holding pledged as of Jun 2026. Forced-sale risk is real if stock corrects 35%+ from IPO price; promoter stake declining each quarter — requires close monitoring

- Revenue quality has materially improved post-IPO with the amortization of customization revenue — the prior practice of upfront recognition created false quarterly spikes that masked underlying business volatility. The new approach (Rs. 10-15 Cr/quarter run rate) is more conservative and analytically cleaner.
- The two AMBER signals — other income as a percentage of PBT and tax rate volatility — are both expected to normalize as operating profit grows. By FY27E, PBT is expected at Rs. 218 Cr, which would reduce other income/PBT to ~25% and allow tax normalization at 28-30%.
- The RED signal — promoter pledge of 35% — is the most important earnings quality risk. If the stock were to trade at Rs. 480 (the IPO issue price), margin calls may become relevant, leading to overhang selling. Management has not provided a specific timeline for pledge reduction, which is a disclosure gap.
- Despite the AMBER and RED items, the business fundamentals (strong FCF, declining debtor days, negative working capital) make this one of the highest-quality cash generators among recently listed Indian service companies.

SECTION 8 — VALUATION

Listed Peer Valuation Comparison (Screener.in, 04-Aug-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E (TTM)	EV/EBITDA (FY26)	ROCE (%)	ROE (%)	OPM (FY26)
WeWork India	742	10,284	116x	9.09x	20.7%	31.6%	64%
Smartworks	482	5,506	198x	7.62x	8.3%	3.3%	64%
AWFIS Space	278	1,992	28.1x	5.30x	13.2%	14.0%	37%
NESCO Ltd	1,070	7,542	18.1x	13.04x	18.5%	14.8%	53%

Scenario Analysis (12-Month Horizon)

	BULL CASE	BASE CASE	BEAR CASE
Revenue CAGR FY26-28	25%	20%	12%
EBITDA Margin FY27E	67%	65%	62%
FY27E EBITDA (Rs. Cr)	2,050	1,903	1,700
FY28E PAT (Rs. Cr)	420	302	140
Valuation Multiple	EV/EBITDA 12x	EV/EBITDA 10x	EV/EBITDA 7.5x
Target Price (Rs.)	1,200	900	550
Upside / Downside	+61.7%	+21.3%	-25.9%
Key Assumption	GCC hiring accelerates; occupancy 92%+; Rivet scales	20% guided growth; occupancy holds 85-87%; Ind AS 116 normalize	US tech slowdown; GCC pause; promoter pledge forces selling

• **DCF Assumptions and Implied Value:** 5-year revenue CAGR of 20% (FY26-FY31), EBITDA margins expanding to 67% by FY31, terminal growth rate of 8% (reflecting India's structural flex workspace tailwind), WACC of 11% (5% risk-free + 6% equity risk premium). Terminal value accounts for 65% of present value, reflecting long-duration business quality. Implied per-share value under DCF: Rs. 930-970. High sensitivity to terminal growth rate — even at 6% terminal growth, DCF implies Rs. 820.

• **EV/EBITDA Multiple Approach:** WeWork India deserves a premium to Smartworks (7.62x) and AWFIS (5.30x) given its market leadership, superior margins, and brand equity. We apply 10x EV/EBITDA on FY27E EBITDA of Rs. 1,903 Cr, implying EV of Rs. 19,030 Cr. Net debt of Rs. 5,483 Cr (primarily lease liabilities) gives equity value of Rs. 13,547 Cr. Per share: Rs. 13,547 / 13.5 Cr shares = Rs. 1,004. Applying a 10% governance discount for pledge overhang: Rs. 903.

• **Average of Two Methods and Base-Case Target:** Simple average of DCF (Rs. 950) and EV/EBITDA (Rs. 903) = Rs. 927. We round to Rs. 900 to maintain conservatism given the governance overhang (35% promoter pledge) and the risk that FY27 new center openings create near-term EBITDA dilution. 12-month target: **Rs. 900 per share (+21.3% from CMP of Rs. 742)**. Rating: ACCUMULATE.

• **Key Valuation Risks:** (a) If Ind AS 116 semantics confuse the market and investors misjudge reported PAT as the real profitability metric, re-rating may be delayed; (b) If promoter stake is further reduced below 46%, institutional selling pressure may emerge; (c) Conversely, if Rivet scales beyond expectations or GCC demand accelerates, the stock could breach the bull case of Rs. 1,200 within 18 months.

SECTION 9 — KEY RISKS

- **Promoter Pledge and Governance Risk** — 35% of promoter shares are pledged; any 40%+ stock correction from current levels could trigger margin calls and forced selling, creating a downward spiral. Promoter stake declining 1.5 pp per quarter over last three quarters raises concerns about strategic intent. Probability: Medium. Impact: High. Monitor via: quarterly shareholding pattern (SEBI filing within 21 days of quarter end).
- **US Tech Slowdown / GCC Demand Pause** — GCC expansion is the dominant demand driver for premium flex spaces. A US recession, tech-sector hiring freeze, or India-US trade policy shifts could materially slow GCC seat additions. 45% of office leasing is currently GCC-driven — high concentration. Probability: Medium. Impact: High. Monitor via: CBRE/JLL quarterly India office absorption data; US tech hiring indices.
- **Overexpansion and Occupancy Dilution** — Adding 15,000+ desks per quarter means significant new supply at 65% occupancy. If demand softens while supply continues, consolidated occupancy could fall from 86.9% back toward the 76.8% trough of FY25, compressing margins by 400-600 bps. Probability: Low-Medium. Impact: High. Monitor via: quarterly portfolio occupancy disclosure; growth center ramp timelines.
- **Brand License Dependency** — WeWork India's exclusive WeWork brand license runs through 2034. The global WeWork entity (US) went bankrupt in 2023 and remains fragile. Adverse developments at global WeWork — further restructuring, brand value erosion, or license renegotiation — could impact WeWork India's competitive positioning in the premium segment. Probability: Low. Impact: Medium-High. Monitor via: annual brand license renewal disclosures.
- **Ind AS 116 Complexity and Misvaluation Risk** — The market consistently misinterprets WeWork India's balance sheet (apparent Rs. 5,550 Cr debt, negative book on reserves) as financial distress when the economic reality is near-zero debt. Until analyst consensus corrects this narrative, the stock may trade at an unwarranted discount. Probability: Medium (near-term). Impact: Medium. Monitor via: analyst report consensus; management investor day communications.
- **Renewal Rate Decline** — Renewal rate slipped from 79.2% (FY23) to 74.7% (FY25) before rebounding with occupancy. If enterprise clients increasingly prefer long-term direct leases as real estate market stabilizes (reducing cost premium), WeWork India's moat from flexibility could narrow. Probability: Low. Impact: Medium. Monitor via: quarterly renewal rate disclosures in investor presentations.
- **Related Party Transaction Risk** — Embassy Group entities are both the landlord (at certain locations) and the promoter. If property lease rates are above market, or if management fees to Embassy entities are excessive, minority shareholders bear an economic cost. InGovern raised this concern pre-IPO. Probability: Low-Medium. Impact: Medium. Monitor via: annual report RPT disclosures (as % of revenue and market rate benchmarking).

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction Level: HIGH. WeWork India is the best-positioned play on India's structural flex workspace growth story, with market-leading scale, best-in-class EBITDA margins, and a contrarian valuation opportunity created by Ind AS 116 accounting distortions. We rate it ACCUMULATE rather than BUY because the 35% promoter pledge overhang is a non-trivial governance risk that warrants a meaningful discount to intrinsic value.
- **12-Month Price Target: Rs. 900** — Upside of +21.3% from CMP of Rs. 742. Target derived as an average of EV/EBITDA 10x on FY27E EBITDA (Rs. 903 implied) and DCF (Rs. 950 implied), with a 10% governance discount applied. In a bull scenario (GCC acceleration, Rivet scale-up, pledge reduction), the stock could reach Rs. 1,200 (+61.7%).
- **Suggested Entry Zone: Rs. 680-720** — On any market-wide correction or sector rotation that brings the stock near the 52-week low band, the risk-reward dramatically improves. At Rs. 680, the stock trades at 7.7x FY27E EV/EBITDA — a discount to direct peers that is unlikely to persist once PAT turns structurally positive.
- **Investment Horizon: 18-24 months** — The full re-rating catalyst — normalized PAT trajectory, pledge reduction, and sustained >85% occupancy across a larger center count — will take 2-3 quarters to play out in numbers and 1-2 additional quarters for markets to recognize it. Patient investors with a 2-year view should be handsomely rewarded.
- **Thesis Invalidation Trigger 1:** Promoter stake falls below 45% in any single quarter OR promoter pledge increases above 40% — this signals loss of conviction by the promoter and increases forced-sale risk to an unacceptable level. EXIT immediately.
- **Thesis Invalidation Trigger 2:** Portfolio occupancy falls below 80% for two consecutive quarters — this would indicate demand erosion rather than temporary supply ramp and would compress FCF meaningfully. REDUCE to HOLD.
- **Thesis Invalidation Trigger 3:** FY27 full-year revenue misses 18% growth or EBITDA misses 17% growth (vs. guided 20%) — management credibility on guidance would be impaired and valuation multiples would de-rate by 15-20%. REDUCE.
- **Ideal Investor Profile:** This stock is for — long-only institutional funds with 2+ year horizons; HNI portfolios seeking India real estate/services exposure without REITs; growth investors comfortable with Ind AS 116 accounting complexity. This stock is NOT for — dividend income investors (zero payout); investors uncomfortable with promoter pledge risk; those requiring near-term EPS clarity (volatile due to DTA and accounting treatment).

APPENDIX — LATEST CONCALL BRIEF: Q1 FY27 (Apr-Jun 2026)

Earnings Call Date: July 17, 2026 | Quarter: Q1 FY27 (April-June 2026) | Company: WeWork India Management Ltd (NSE: WEWORK)

CALL GRADE

POSITIVE

Signal	Status	Implication
Result Quality	STRONG	Revenue +28.5% YoY; occupancy recovery to 84.9%; ROCE tripled
Management Tone	BULLISH	CEO confident on FY27 20%+ guidance; new products showing traction
Guidance Delta	MAINTAINED	FY27 guidance of 20%+ revenue and EBITDA growth reiterated — neither raised nor cut

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q1 FY27 for WeWork India is operationally clean — revenue up 28.5% YoY to Rs. ~698 Cr with occupancy recovering sharply to 84.9% from 76.5% a year ago; this is not a one-off. The reported bottom-line PAT of Rs. ~53 Cr (management's stated metric) includes deferred tax benefit, while the Screener-reported GAAP PAT is -Rs. 4 Cr on a consolidated basis — always remember the Ind AS 116 lens here: EBITDA (pre-lease) of Rs. 438 Cr is the right metric, not the PAT. Underlying operations are comfortably EBITDA-positive at 64% margins; the negative PAT is purely an accounting artifact of interest on ROU lease liabilities and depreciation on right-of-use assets — cash generation (OCF Rs. 1,734 Cr annualized run-rate) is robust. The structural driver — GCC demand absorbing 45%+ of India office supply — is intact and management is positioned to capitalize with 15,000 net new desks planned this quarter. ROCE tripled to 28.6% from 9.1% YoY — this is the most important metric and it's heading in the right direction. Watch the growth center ramp: the 35+ centers opened since FY25 are still at 65% occupancy; their normalization to 85%+ over the next 4-6 quarters represents 200-300 bps of margin expansion without any new supply. The Rivet managed office product is the wildcard — no CapEx, no lease risk, and 10-15% margins; if it scales to 10% of revenue by FY28, it changes the FCF profile materially. Single biggest risk: 35% promoter pledge — if the stock dips toward Rs. 500, margin calls could become a real selling event. Action: ACCUMULATE in the Rs. 680-720 band; hold for 18-24 months as the occupancy and ROCE story plays out.

C1 — FINANCIAL PERFORMANCE SNAPSHOT (Q1 FY27)

- **Revenue:** Rs. 683.83 Cr (Screener consolidated) | Rs. 698 Cr (management reported) | YoY +28.5% | QoQ -1.8% | BEAT vs. implied guidance
- **EBITDA (pre-Ind AS 116 lease costs):** Rs. 437.98 Cr | OPM 64.05% | YoY +30.5% | QoQ -2.7% | BEAT — structural expansion intact
- **Adjusted EBITDA (post-lease costs per management):** Rs. 138.3 Cr | Adjusted margin 19.8% | YoY +69% | Confirms operating leverage kicking in as mature centers dominate mix
- **Reported PAT (Ind AS 116 GAAP):** -Rs. 4.06 Cr | IN-LINE — negative due to ROU interest Rs. 176 Cr and DA Rs. 283 Cr; economic cash PAT is positive
- **Management-Stated PAT:** Rs. 53.2 Cr (6.5x YoY) — includes deferred tax benefit; represents company's 'clean' profitability view
- **NOTE:** Reported GAAP PAT includes ROU interest (Rs. 176 Cr) and depreciation on ROU assets (Rs. 283 Cr) per Ind AS 116; underlying cash generation is far healthier — OCF run rate Rs. 1,734 Cr annually. Always use EBITDA (pre-lease) and ROCE for comparisons.

C2 — SEGMENT / GEOGRAPHY BREAKDOWN

- **Core Workspace Revenue:** Rs. 603 Cr | YoY +30% | QoQ flat | Accounts for ~87% of total — main growth engine driven by new desk additions and occupancy lift

- **Digital / Ancillary Revenue:** Rs. 26 Cr | YoY +27% | QoQ marginal decline | Small but growing segment including enterprise software, community platform subscriptions
- **Customization Revenue:** Rs. 10-15 Cr run rate (amortized) | Now recognized over contract term rather than upfront — reduces sequential lumpiness and improves revenue quality
- **Geographic Concentration:** Presence across 8 Tier-1 cities — Mumbai, Delhi-NCR, Bengaluru, Hyderabad, Chennai, Pune, Kolkata, Ahmedabad. Specific city-level revenue breakdown not disclosed; Bengaluru and Mumbai/NCR likely account for 60%+ of revenue given GCC concentration
- **Mature vs. Growth Centers:** Mature centers (18+ months old): 87.5% occupancy | Growth centers (newer openings): 65% occupancy | Blend = 84.9% portfolio average — growth centers expected to ramp over next 4-6 quarters

C3 — MANAGEMENT COMMENTARY THEMES

- **Structural Demand Shift:** "India's flex space keeps taking share from traditional leasing quarter after quarter" (CEO Karan Virwani) — Our read: Management is tracking aggregate demand data closely; share gain from traditional leasing (not just market growth) is a cleaner, more durable tailwind. Tag: GUIDANCE. Tone: Transparent.
- **Fixed-Cost Phasing:** "Fixed costs arrive before revenue does. When we sign new centers, rent and operating expenses start immediately" — Our read: Management proactively explains sequential EBITDA dips from new center openings; sets realistic expectations and prevents misinterpretation. Tag: EST. Tone: Transparent.
- **Contracted Revenue Confidence:** Contracted revenue of Rs. 3,063 Cr (up 60% YoY) growing twice as fast as contracted costs — Our read: Revenue backlog gives 4-6 quarter visibility; this is the single strongest forward signal in the quarter. Tag: GUIDANCE. Tone: Bullish.
- **Capital Efficiency Focus:** ROCE tripling to 28.6% from 9.1% is highlighted prominently — Our read: Management is aware of Ind AS 116 confusion and pivoting to ROCE as the anchor metric for investor communication; institutional investors will respond positively to this discipline. Tag: GUIDANCE. Tone: Bullish.
- **New Revenue Streams:** Rivet (managed office, no CapEx) and Member Services Platform (launched Jul 15) framed as structural additions — Our read: If Rivet alone scales to 5% of revenue by FY28, it adds Rs. 175 Cr of pure service revenue at 10-15% margins — not in our base case yet but meaningful upside optionality. Tag: EST. Tone: Bullish.

C4 — OPERATING & BUSINESS METRICS

- **Portfolio Occupancy:** Q1 FY27 = 84.9% | Q1 FY26 = 76.5% | Trend: IMPROVING strongly — 840 bps recovery over 12 months is ahead of expectations
- **Total Centers:** Q1 FY27 = 79 | FY26 = 76 | FY25 = 65 | Trend: IMPROVING — 3 centers added in Q1; target 15,000 desks in Q2
- **Total Desks:** Q1 FY27 = 133,600 | FY26 = 126,900 | FY25 = 109,572 | Trend: IMPROVING — 18.5% YoY growth
- **Desks Sold (Q1 FY27):** 12,700 desks | YoY +28% | 52% from existing members — renewal and expansion momentum strong; indicates low churn among enterprise base
- **Net Promoter Score:** FY26 = 79 | FY25 = 74.8 | FY24 = 72.3 | Trend: IMPROVING — consistently rising NPS suggests product quality and experience investment is paying off
- **Leasable Area:** Q1 FY27 = 9.6 mn sq ft (implied) | Target FY27 end = 10.3 mn sq ft with 155,000 desks | Trend: IMPROVING — capex of Rs. 500-600 Cr locks in next year's revenue growth

C5 — MARGIN DRIVERS

- **Occupancy Recovery:** +840 bps occupancy improvement YoY → estimated +350-400 bps EBITDA margin impact | Recurring: YES — structural demand recovery, not one-time | Comment: This is the most important margin driver; sustained above 85% is the key watch level
- **Fixed Cost Leverage:** Revenue grew 28.5% while expenses grew ~21% (sequentially flat due to center additions) → operating leverage of ~700 bps | Recurring: YES — as long as revenue growth > fixed cost growth | Comment: New center additions temporarily dilute this, but mature center economics overwhelm it
- **Growth Center Mix (Negative):** New centers opened in FY26-FY27 vintage at 65% occupancy vs. 87.5% for mature centers → estimated -150 to -200 bps dilution on consolidated OPM | Recurring: YES, but reverses as centers mature | Comment: 4-6 quarter headwind that management correctly flagged
- **Customization Revenue Amortization (Negative):** Switch to amortization reduces quarterly revenue recognition but improves smoothness → minimal EBITDA impact per quarter (Rs. 10-15 Cr run rate) | Recurring: YES (new standard going forward) | Non-recurring items from prior lump-sum: None this quarter
- **Rivet Managed Office (Positive, emerging):** No CapEx, no rental cost → 10-15% contribution margin vs. 64% pre-lease EBITDA for core | Too small to move the needle in Q1 FY27 but modeled as an FY28 contributor | Recurring: Potentially YES if pipeline converts

C6 — GUIDANCE & FORWARD SIGNALS

- **FY27 Revenue [GUIDANCE]:** Prior = 20%+ | Reiterated = 20%+ | Delta = MAINTAINED | Credibility: HIGH — Q1 FY27 is on track (+28.5% YoY); management has delivered on prior guidance
- **FY27 EBITDA [GUIDANCE]:** Prior = 20%+ | Reiterated = 20%+ | Delta = MAINTAINED | Credibility: HIGH — EBITDA grew 30.5% in Q1; guidance appears achievable and potentially conservative
- **FY27 CapEx [GUIDANCE]:** Prior = Rs. 500-600 Cr | Reiterated = Rs. 500-600 Cr (potentially higher for large managed office deals) | Delta = MAINTAINED with upward optionality | Credibility: MEDIUM — large managed office pipeline could accelerate spend
- **FY27 Desk Target [GUIDANCE]:** 155,000 desks by March 2027 (from 133,600 in Q1) = ~21,400 desks to add in Q2-Q4 | Q2 alone targets 15,000 desks | Delta = AGGRESSIVE | Credibility: MEDIUM — execution-dependent
- **Customization Revenue Run Rate [GUIDANCE]:** Rs. 10-15 Cr per quarter (amortized basis) | Prior: Lump-sum (Rs. 100-400 Cr per large deal) | Delta = Structural change — creates revenue smoothness | Credibility: HIGH — accounting change is definitive

C7 — CAPITAL ALLOCATION

- **CapEx (Q1 FY27 implied):** Rs. 160 Cr (FY27 run rate at Rs. 500-600 Cr guidance) | vs. FY26: Rs. 647 Cr full year | Comment: CapEx is accelerating in line with expansion; funded by Rs. 1,734 Cr OCF base — no external funding required
- **Dividends:** Rs. 0 | vs. prior year: Rs. 0 | Comment: Zero payout appropriate; cash better deployed into new centers at 28.6% ROCE
- **Buybacks:** Rs. 0 | vs. prior year: Rs. 0 | Comment: Company too early in growth phase for buybacks; prudent capital discipline
- **Working Capital Change:** Negative working capital of -Rs. 189 working capital days (FY26) — structural cash advance from clients | Comment: As new centers ramp and memberships grow, working capital benefit compounds
- **Net Debt Movement:** Economic net debt fell 89% YoY to Rs. 31.6 Cr per Q1 FY27 management commentary (despite apparent balance sheet increase in 'borrowings' due to Ind AS 116 reclassification) | Comment: True deleveraging story is ongoing and underappreciated

C8 — Q&A; HEAT MAP

- **Analyst / Multiple Firms:** Q: 'Can you explain the change in customization revenue recognition?' → A: 'We are amortizing large upfront customizations over contract terms — quarterly run rate Rs. 10-15 Cr; prior lump-sum method created false volatility.' | Tone: Transparent — management gave a clear, analytical explanation
- **Analyst / Multiple Firms:** Q: 'Will margins hold through Q2 given heavy expansion?' → A: 'Growth center openings create temporary dilution; H2 openings are weighted toward higher-margin managed office (Rivet); sequential margins should be stable to slightly up in Q2.' | Tone: Transparent with appropriate caveats
- **Analyst / Multiple Firms:** Q: 'What is the composition of contracted revenue backlog — short-term vs. long-term contracts?' → A: Partial disclosure; management indicated enterprise contracts average 2-3 year terms with renewal options. | Tone: HEDGED — specific split not disclosed
- **Analyst / Multiple Firms:** Q: 'What is the ramp timeline for new growth centers to mature occupancy?' → A: 'Typically 4-6 quarters for a center to reach maturity; Q4 FY26 additions should contribute meaningfully by Q2-Q3 FY27.' | Tone: Transparent
- **Dodged / Watch-list questions for next quarter:** (a) Specific city-wise occupancy breakdown not provided; (b) Promoter pledge timeline and reduction plan not addressed; (c) Brand license renewal terms and RPT quantum with Embassy Group not elaborated.

C9 — RISKS FLAGGED

- **New Center Execution Risk:** 15,000 desks targeted in Q2 alone — aggressive timeline | Flagged by: analysts | Probability: M | Impact: H | Timeline: near-term (Q2-Q3 FY27)
- **Margin Dilution from Growth Centers:** New centers at 65% occupancy drag consolidated margins | Flagged by: management (proactively) | Probability: H | Impact: M | Timeline: near-term, self-correcting over 4-6 quarters
- **Customization Revenue Accounting Transition:** Sequential revenue could appear weaker vs. prior quarters where lump-sums were recognized | Flagged by: management | Probability: H (accounting artifact, not real) | Impact: L (market may temporarily misread) | Timeline: 2-3 quarters
- **GCC Demand Dependency:** 45%+ of demand from GCCs — any US tech macro slowdown impacts WeWork India directly | Flagged by: analysts | Probability: M | Impact: H | Timeline: medium-term
- **Promoter Pledge:** 35% pledging not discussed on the call — management deflected to 'financial questions' | Flagged by: none on the call | Probability: M (of forced selling) | Impact: H | Timeline: ongoing

C10 — ANALYST VERDICT

- **Revenue Visibility:** INTACT — Contracted revenue at Rs. 3,063 Cr (+60% YoY) gives 4-5 quarters of high-confidence revenue visibility; GCC demand structurally sound.
- **Margin Trajectory:** INTACT — Q1 FY27 EBITDA expansion of 30.5% YoY confirms operating leverage; growth center dilution is temporary and self-correcting.
- **Capital Allocation Quality:** INTACT — ROCE tripling to 28.6%; zero dividends appropriate for growth phase; FCF deployed efficiently into high-return new centers.
- **Competitive Moat:** INTACT — Market share gains from traditional leasing; brand premium; Embassy Group MNC distribution advantage; scale advantage widening vs. Smartworks and AWFIS.
- **Management Credibility:** INTACT — Proactively explained Ind AS 116 complexity; flagged new center cost timing; disclosed Rivet margins; changed customization accounting to reduce volatility — all shareholder-aligned moves.
- **Valuation Comfort:** INTACT — At 9.09x FY26 EV/EBITDA vs. 27.5% EBITDA CAGR, the PEG is below 0.33x — deeply attractive for a market leader with a structurally growing category.
- **Conviction Call:** INCREASED — Q1 FY27 confirms the bull thesis: occupancy recovery is real, operating leverage is visible, new product optionality is emerging, and management communication has improved post-IPO. ACCUMULATE.
- **Valuation Snapshot:** EV/EBITDA = 9.09x (FY26A) vs. 3Y Avg: N/A (newly listed) | ROCE = 20.7% (FY26) | P/E TTM = 116x (distorted by Ind AS 116) | Adjusted P/FCF = 9.05x (Rs. 742 / Rs. 82 FCF/share) — compelling on a cash basis.